Practice workbook · Calculate the gross profit margin

Calculating gross profit margin as gross profit divided by revenue times 100, finding gross profit first if needed.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-14

1. Question 3 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

3 (a) Define the term **non-current assets**.

(1)

(b) Outline **one** disadvantage to *Can Culleretes* of increasing the amount of inventory it holds.

(2)

Figure 2 is an extract of financial information from *Can Culleretes*.

Sales revenue	€19 220
Cost of sales	€14 720
Gross profit	€4 500

Figure 2

(c) Calculate, to 2 decimal places, the gross profit margin. You are advised to show your working.

(2)

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1. Question 3 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

(d) Analyse the impact of customers using social media to review *Can Culleretes*.

(6)

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1. Question 3 · part c · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

	Bakery (000s MYR)	*L.café* (000s MYR)	*L.bistro* (000s MYR)
Revenue	149	75	65
Cost of sales	83	51	33
Gross profit	66	24	32
Gross profit margin	44.3%		49.2%

Figure 1

(a) Define the term **current liabilities**.

(1)

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

(2)

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2. Question 3 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Using Figure 1, calculate the gross profit margin for *L.café*. You are advised to show your workings.

(2)

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(d) Analyse how the Statement of Comprehensive Income can be used by *Lavender* when considering its expansion.

(6)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(f) Explain **one** way a business could increase its **gross profit margin**.

(3)

(g) Analyse the importance to *Backyard Shoez* of satisfying customer needs.

(6)

(Total for Question 1 = 20 marks)

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3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 3 · part c · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

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4. Question 3 · part c · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

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(d) Analyse how *Artify Studio* could use the information in **Figure 1** to assess the performance of the business.

(6)

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4. Question 3 · part c · 2 marks · Working and answer

Working and answer

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 *Cadbury* is part of the multinational *Mondelez* business. In 2017 *Mondelez* had a gross profit of $10.3 million and a revenue of $25.9 million.

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

When *Cadbury* was founded in 1842, there may have been times when it needed an overdraft.

(b) Analyse why *Cadbury* may have needed to take out an overdraft.

(6)

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5. Question 4 · part a · 2 marks · Working and answer

Working and answer

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6. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 **Figure 2** is an extract from *Aude Rose*'s Statement of Comprehensive Income.

Sales	€62 400
Gross profit	€45 024
Cost of sales	€17 376

Figure 2

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

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6. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

(b) Analyse factors that *Aude Rose* might consider when measuring the success of its business.

(6)

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6. Question 4 · part a · 2 marks · Working and answer

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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Figure 1 is a diagram of a product life cycle.

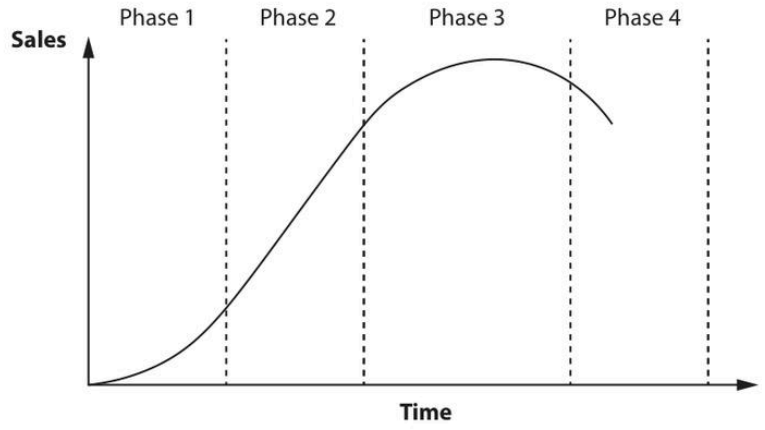


Figure 1

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(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

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Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(f) Explain **one** reason why businesses want to use resources effectively in manufacturing.

(3)

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7. Question 1 · part e · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part a only.

4 **Figure 3** shows the gross profit for *Kraft Heinz* for the three months ending 25 June 2022:

	Million (US Dollars)
Gross profit	1 984
Revenue	6 554

Figure 3

(a) Calculate, to two decimal places, the gross profit margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part a only.

(b) Analyse the benefits to countries where *Kraft Heinz* is located.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

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9. Question 3 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Define the term **share capital.**

(1)

(b) Outline how *CCT* could use quantitative research data to improve its service.

(2)

Figure 2 is an extract from the statement of comprehensive income from a *CCT* competitor.

	CYN
Revenue	85 000
Cost of sales	13 500
Gross profit	71 500

Figure 2

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

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9. Question 3 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

CCT wants to extend its services by offering family tour holidays and team-building days for businesses. It plans to recruit an external Marketing Manager to promote these new services.

(d) Analyse the possible effects on *CCT* of recruiting externally.

(6)

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9. Question 3 · part c · 2 marks · Working and answer

Working and answer

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10. Question 4 · part a · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

4 **Figure 4** is an extract from a *Four Fitness* Statement of Comprehensive Income.

	€
Revenue	168 000
Costs of sales	54 638
Gross profit	113 362

Figure 4

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your workings.

(2)

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10. Question 4 · part a · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

(b) Analyse why *Four Fitness* complies with health and safety laws.

(6)

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10. Question 4 · part a · 2 marks · Working and answer

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